Marketing in a Digital Era

Session 2

Dr. Anshu Suri

Consumer Buying Behaviour

- Refers to the buying behavior of final consumers — individuals and households that buy goods and services for personal consumption

- Answers
  - What consumers buy
  - Where they buy
  - How & how much they buy
  - When they buy &
  - *Why they buy*

Consumer Psychology

Needs: Basic human requirements

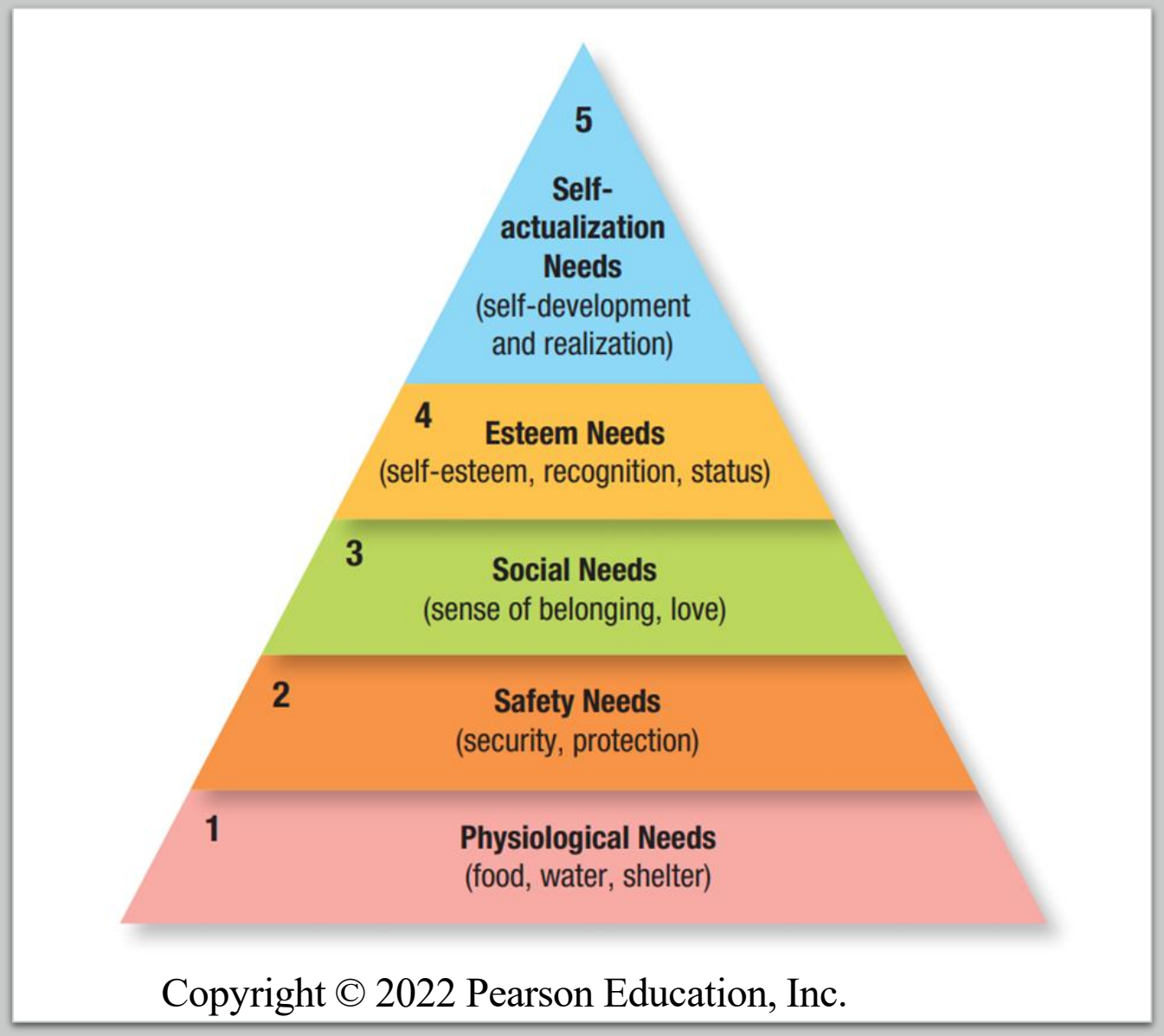
Needs become ***wants*** when directed to specific objects that might satisfy the need

Marketers can't create needs but they can help shape wants

Demands: wants + the ability to pay

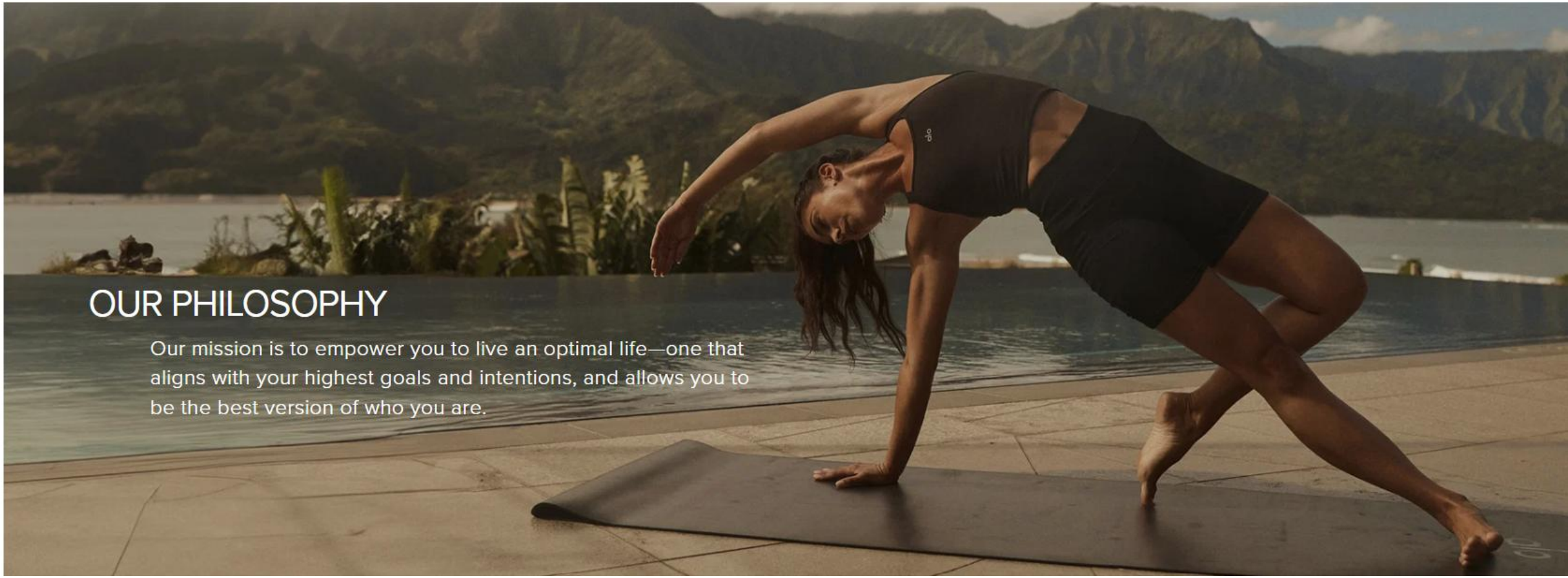
Motivation: A need becomes a motive when it is aroused to a sufficient level of intensity

Maslow's Hierarchy of Needs



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What Need does the following product fulfil?


OUR PHILOSOPHY
Our mission is to empower you to live an optimal life—one that aligns with your highest goals and intentions, and allows you to be the best version of who you are.

Question for You

Think About

- Why did you select this University?
- Which information sources did you consult to select your options?
- Which other Universities did you consider?
- Which criteria influenced your choice? Were some criteria more important than others?
- Did the people around you influence your thinking? And at what level? (e.g., your friends who attended this university before)?
- When did you make your decision? And How?
- Are you satisfied with your decision? Why? What will you do after your graduation? (e.g., leave a Google review?)

Integrated Model of Consumer Behavior

Internal influences
Personal
Psychological

External influences
Reference groups
Subcultures
Cultures

Contextual influences
Environment
Time
Mood

Influences of the marketing mix
7 Tactics/4 P's of Marketing


Recognition of a need


Information search


Evaluation of alternatives


Purchase decision

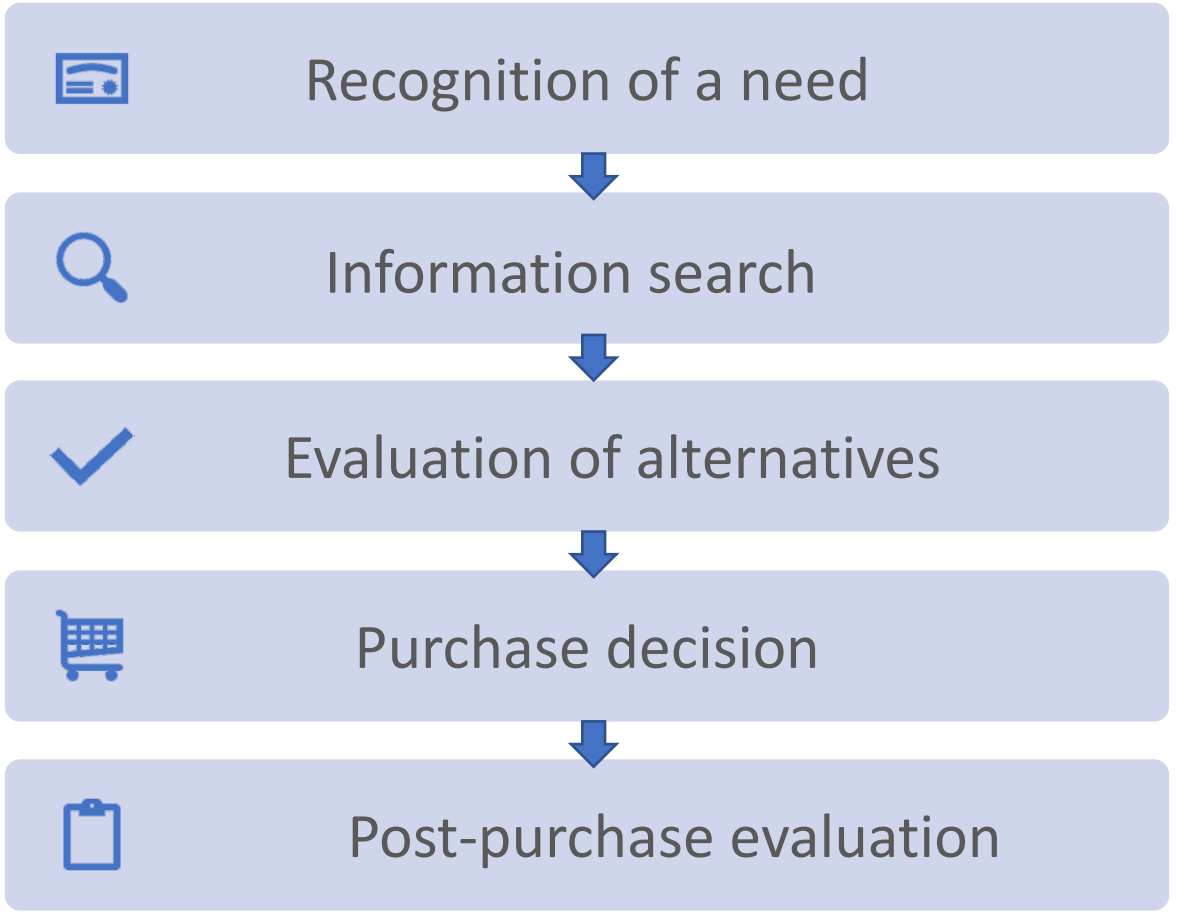

Post-purchase evaluation



Characteristics that Influence the Decision Process

- Level of effort and involvement in the decision
  - Involvement: Amount of importance that consumers place on an object
    - Low vs. High
  - Influenced by perceived risk, cost, familiarity with product category & brand, type of decision, etc.

Consumer Decision Making Process





Recognition of a need

- When a consumer recognizes an unfulfilled **need,** and a product will satisfy it (**a want**)

- Arises when :
    1. Your existing product breaks down, runs out or is lost
    2. Gap between an ideal state and an actual state

- Can result due to internal or external factors



Information Search

- Need triggers an information search

- Internal information
  - Expertise
  - Experience

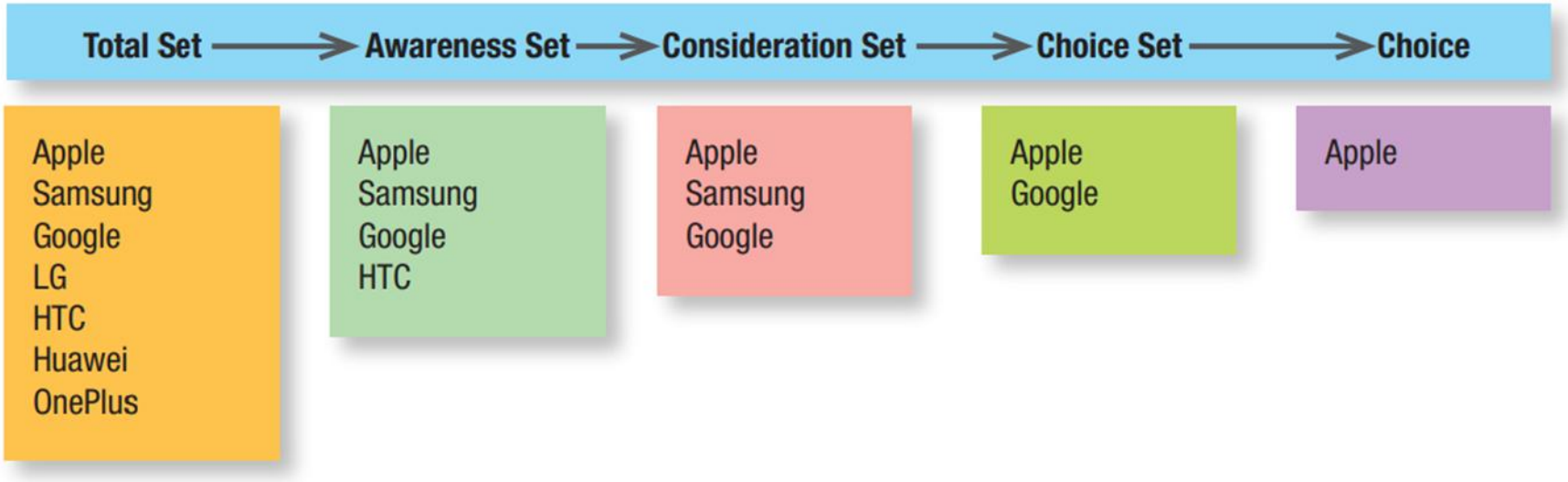
- External information
  - Personal noncommercial
  - Independent
  - Commercial



Information Search

- Amount of information searched influenced by perceived risk of purchase
  - Monetary : More for expensive products
  - Physical: Risk related to physical wellbeing
  - Social: Risk related to affiliation, group and status
  - Psychological: Risk related to self-esteem & self-confidence
  - Functional: Risk related to performance

Successive Sets Involved In Consumer Decision Making



Pearson

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Purchasing Decision

- Determinant Attribute Importance

- Adoption of a decision model (based on the amount of information to process and effort required)
  - Compensatory model
  - Non-compensatory model

Purchase Decision: Compensatory vs. Non-compensatory

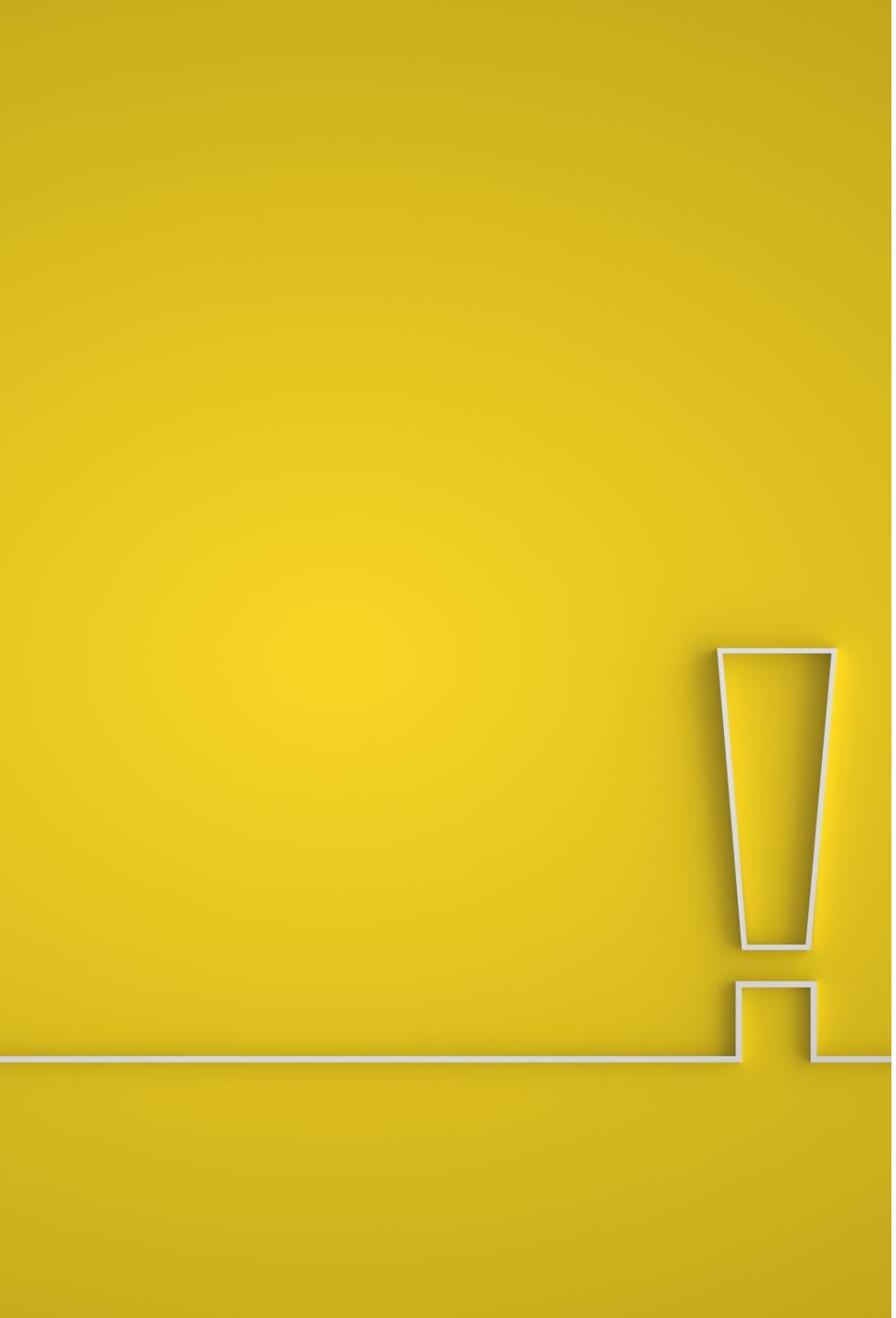
- Compensatory Model: Takes into account all determinant attributes

Attributes	Attribute Importance	Brand Ratings		
		Apple	HP	Dell
RAM	5	3	4	2
Processing Speed	4	2	3	5
Aesthetics	2	4	5	2
Screen Resolution	3	3	3	4
Total Weighted Score	Apple = 5X3 + 4X2 + 2X4 + 3X3 = 40			
	HP = 51			
	Dell = 46			

Purchase Decision: Compensatory vs. Non-compensatory

- Non-compensatory Model: The most important attributes must meet the minimum acceptable level

Attributes	Minimal Acceptable Level	Brand Ratings		
		Apple	HP	Dell
RAM	3	3	4	2
Processing Speed	2	2	3	5
Aesthetics	3	4	5	2
Screen Resolution	2	3	3	4



Purchasing Decision

- Heuristics: Consumers often take mental shortcuts

- Some contextual variables
  - Level of Consumer Involvement
  - Mood
  - Time available
  - Physical environment



Post-Purchase Evaluation

- *Expectation disconfirmation theory* seeks to explain post-purchase or post-adoption satisfaction as a function of expectations, perceived performance, and disconfirmation of beliefs.
  - Expectation management
  - Loyalty

- If Consumers' perceived performance meets expectations, then a consumer is satisfied

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Price
Distribution
Marketing communication

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Personal Factors

Occupation

Age & Life Stage

Economic Situation

Values: a set of principles & notions of right & wrong

Lifestyle: A person's pattern of living as expressed in their activities, interests, and opinions. E.g., money constrained or time constrained?



Personality & Self-Concept

- Personality: The unique psychological characteristics that distinguish a person or group
- Brand personality: specific mix of human traits that may be attributed to a particular brand
- Consumers are likely to choose brands that match their own personalities
- Actual self-concept: how we view ourselves
- Ideal self-concept: how we would like to view ourselves
- Others' self concept: how we think others see us







PRODUCT VIDEO

PRODUCT OVERVIEW

Yves Saint Laurent's Libre Eau de Parfum pays homage to the house's most defining and enduring value: passionate and defiant freedom.



Psychological Factors

Psychological Factors

- Motivation
  - Determines the level of effort
  - Maslow’s hierarchy of needs
  - Utility needs versus hedonic and symbolic needs





Psychological Factors

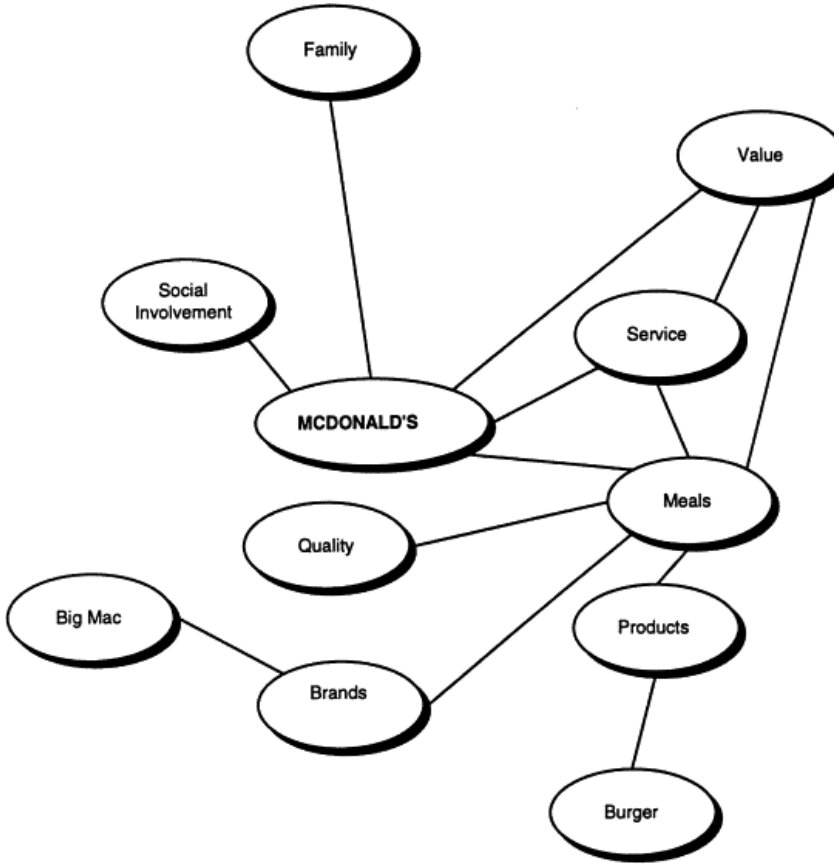
- Emotions: Emotions are mental states that arise spontaneously and reflect people's positive or negative reactions to internal and external stimuli

- Beliefs & attitude
- Belief: A belief is a descriptive thought that a person holds about something
- Attitude: a person's evaluations, feelings, and tendencies toward an object or idea.

Psychological Factors – Memory Models

- **Perception:** the process by which people select, organize, and interpret information to form a meaningful picture of the world.

- Brand associations consist of all brand-related thoughts, feelings, perceptions, images, experiences, beliefs, and attitudes that become linked to the brand node.



Source: Henderson et al. 1998

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Psychographic variables

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External Influences



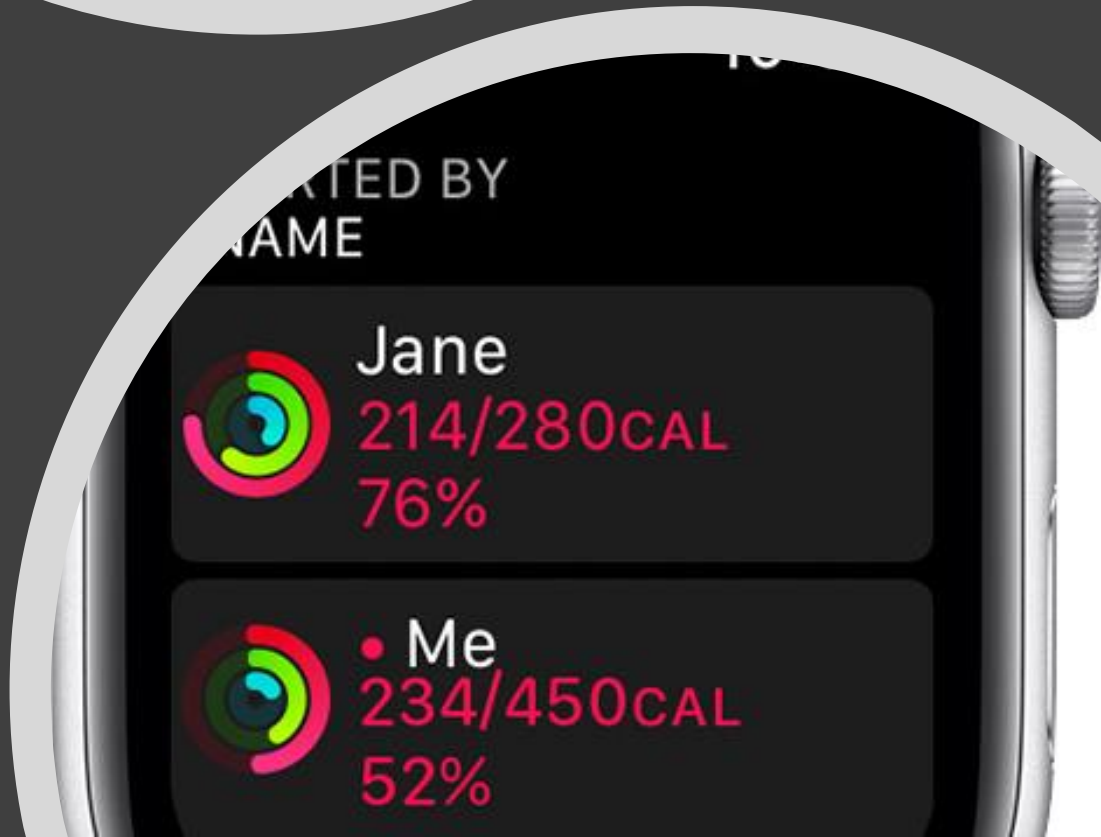
Reference Groups

- Real or imaginary individuals or groups that influence a person's evaluations, aspirations and behavior
- Opinion leader: A person within a reference group who, because of special skills, knowledge, personality, or other characteristics, exerts social influence on others.

Reference Groups



- Informational influence
- Normative influence: consumers feel pressured to conform with societal “norms”
- Comparative influence: the reference group with which consumers compare their beliefs, attitudes, and behavior





Family

- Family members can strongly influence buyer behaviour
- One of the most important reference groups

Top Kid-Influenced Product Categories

(categories where children either influence spending or spend their own money)



Published on MarketingCharts.com in November 2019 | Data Source: National Retail Federation (NRF)

Culture

- The set of basic values, perceptions, wants, and behaviors learned by a member of society from family and other important institutions.
    - Shared significations
    - Rituals
    - Norms
    - Traditions
- Collectivist (eastern) vs individualistic (western) cultures





Subcultures

- A group whose members share beliefs and experiences that differentiate them from other groups
  - Generations
  - Ethnic groups
  - Regional subcultures
  - Social classes





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Contextual (Situational) Influence



MOOD



TIME AVAILABLE



ENVIRONMENT

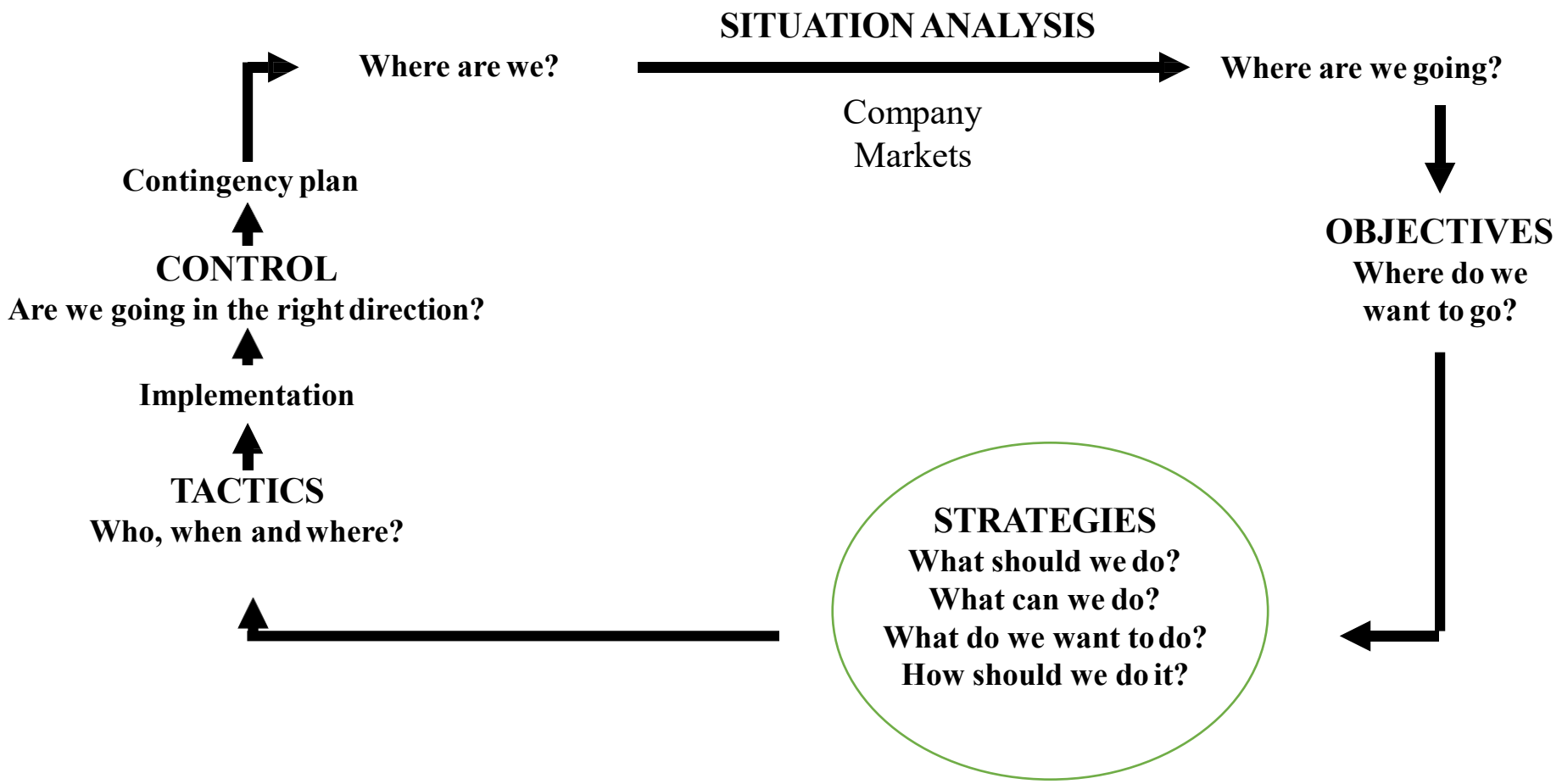
Marketing Planning Process



What is Marketing Strategy?

- Marketing Strategy: “**a statement** (implicit or explicit) of how a brand or product line will **achieve its objectives**. It provides decisions and direction regarding variables such as the **segmentation** of the market, identification of the **target market**, **positioning**, marketing mix elements, and expenditures. A marketing strategy is an integral part of a business strategy” (AMA, 2016)

Marketing Planning Process



Why Segmentation?

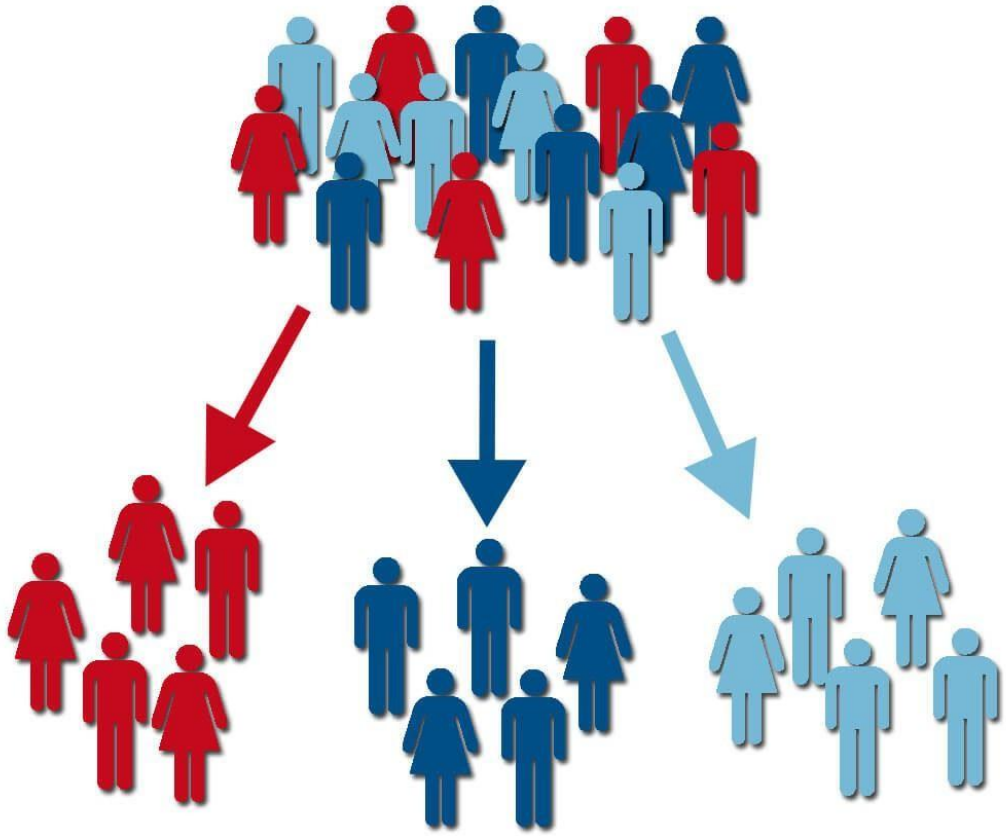
- A society = Group A + Group B +….
- Segments have relatively distinctive Buying Behaviors, Needs, and Expectations
- Demands for the products are varied
- Responses to marketing stimuli are different



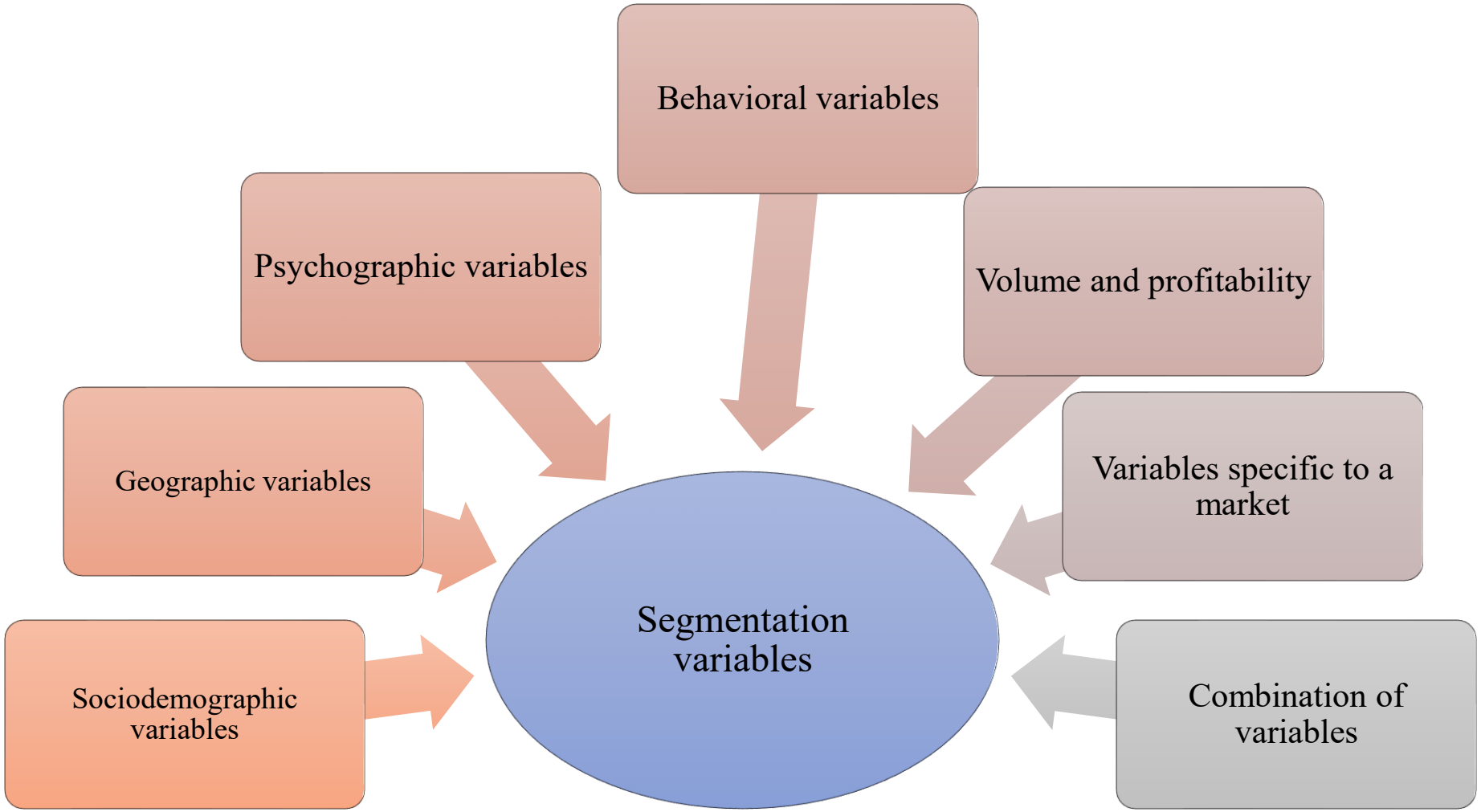
“A marketing strategy that consists of dividing the market into submarkets, that is, homogenous groups of consumers who have similar **needs** and **behave** in the same way; however, each group is different from the others.”

How to Segment?

- Divide the market into submarkets
- Homogeneous customers (in some attributes) within same group
- Groups should be different from each other
- Make sure factors that are shared within a group of consumers affect their consumption behaviors!



Segmentation variables



Sociodemographic Variables

- Demographic, economic and social characteristics such as
  - Income
  - Age
  - Education
  - Income
  - Gender
  - Ethnic
  - Origin
  - Religion
  - Language
  - Occupation
  - Marital status
  - Family structure



E.g. "The typical visitor of Met Live Bulgaria (Opera) continues to be a woman with higher education, aged 45+, retired or working a white-collar job."

Geographic Variables

- Region of the world
- Country
- Neighborhood
- Postal code
  - Geomarketing : because people with similar sociodemographic characteristics tend to live in same neighborhoods
- Climate and physical environment



McDonad's India

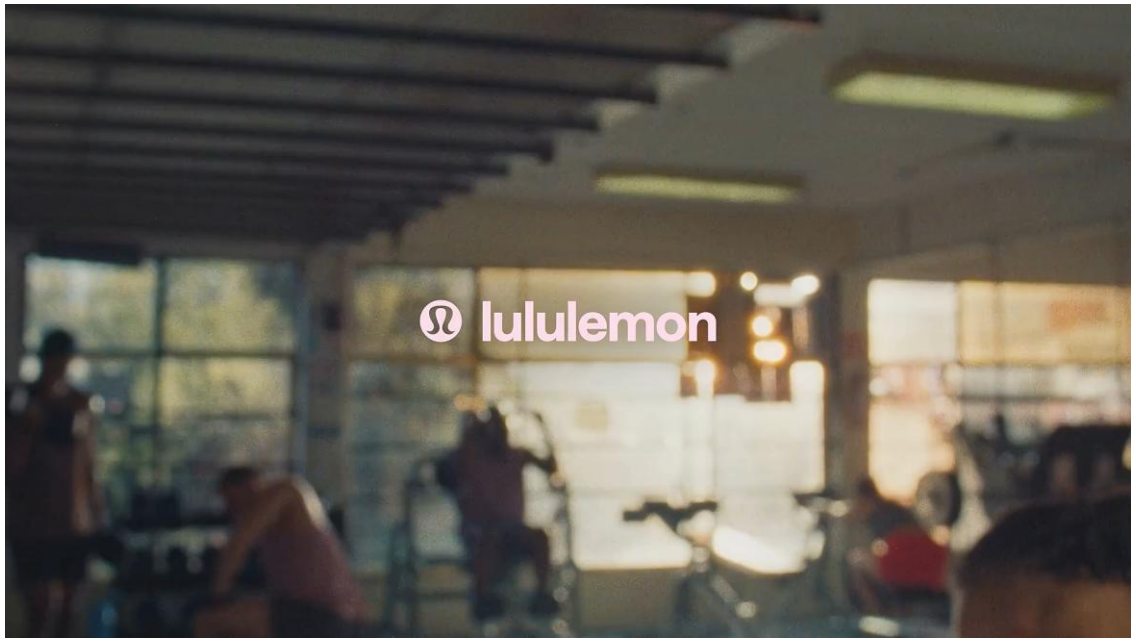


Psychographic variables

- Primarily concerns consumers' mindsets, values, opinions, interests and attitudes toward life. For example (Harrell and Frazier, 1999):
  - Actualizers
  - Believers
  - Achievers
  - Makers
  - Experiencers







LULULEMON VS. AERIE

Example: Food Segments based on Psychographics (attitude toward food & cooking)

Segment	
House Proud	Happiest when their pantry is well stocked, and their meal is home cooked, House Proud individuals love cooking and grocery shopping
Trendsetters	New foods, new flavors and new experiences excite this segment, whether they're cooking up a storm or dining out.
Entertainers	This segment loves the social side of food. Whether they like cooking or not, they're fabulous entertainers – at home and eating out.
Old-fashioned Cooks	The same shopping list every week, traditional home-cooked meals characterize this segment's attitude to food
Zappits	For Zappits, cooking is an unnecessarily time-consuming chore. They'd rather save themselves the hassle with easy-to-prepare food or takeaway
Take-it-aways	Why cook when you can order? Takeaway is this segment's preference, and as long as it tastes good, they're happy
Just Feed Me	Not remotely interested in cooking, Just Feed Me people will simply eat what they're given

- Source: http://www.roymorgan.com/products/segmentation-analytics/food-segments



Lifestyle variables

- Classifying consumers into a number of universal categories based on their psychographic, demographic and geographic characteristics

- Combination of sociodemographic, geographic and psychographic variables

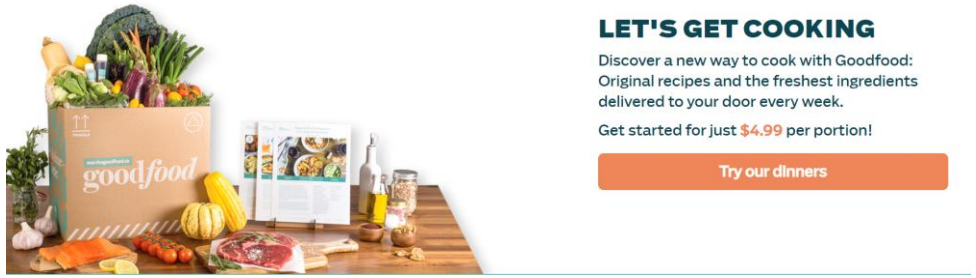
Rise of the 'gastrosexual' as men take up cooking in a bid to seduce women

By ELEANOR GLOVER
UPDATED: 14:43 EDT, 21 July 2008



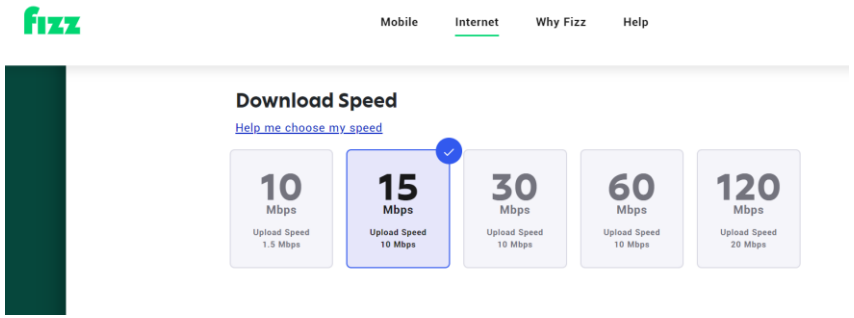


WHAT SEGMENT DO THESE TARGET?



Behavioral Variables

- Directly focuses on consumer needs, expectations and behavior.
- What do they want?
- What do they need?
- What do they expect?
- Ultimately, what do they actually buy?
- Focuses on the “**benefits sought**” by the segment
- Some behavioral variables: Usage rate (heavy/light users), customer loyalty, product knowledge (beginner/experienced)





Volume and Profitability Variables

- The amount of consumers' purchase
  - Potential vs. Actual
  - Large, average vs. small
- The profit that some products can generate for a firm
  - Highly profitable
  - Moderately profitable
  - Etc.



Rouge members: Customers who spend $1,000+ in a year

Variables specific to a market

- Variables specific to a market
- Examples
  - Tenant vs. Landlords
  - First-time home buyer vs. experienced
  - Random buys
  - Secondhand/used goods buyers
  - Collectible goods buyers



Houseowner vs tenant



Age of House

Combination of variables

- A + B + C+…

- Segmentation grid : Combine multiple variables to create better-defined potential target groups whose needs your products/services will satisfy
  - E.g. : “young professionals” with the primary need “to distinguish themselves from non-professionals”. They may share various commonalities on variables such as demographics (age, income, etc.), psychographics, behavior, etc.

- Important:
  - Identifying and choosing the most appropriate variables that will help the accomplishment of the firm’s goal/business strategy
  - Identifying and choosing the right variables for the right market(s)



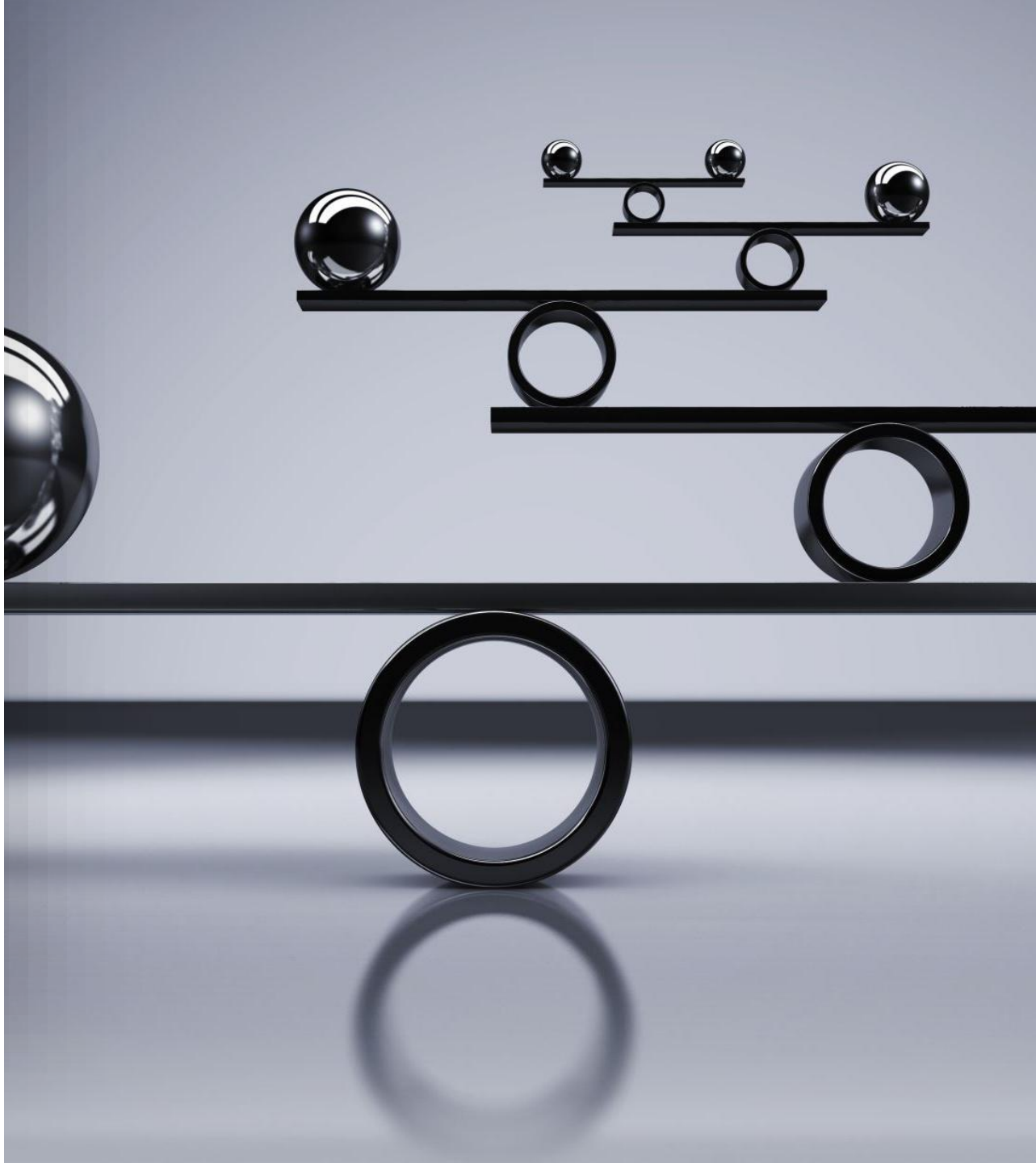
Segmentation in Digital Marketing

- Usage of “Personas” in defining customer journeys

- Customer journeys are used in designing effective email campaigns, effective marketing campaigns, landing page optimization, etc.

Requirements for Effective Segmentation

- Measurable
- Accessible
- Substantial
- Differentiable
- Actionable



Activity

- Let’s segment the Singapore Coffee shop market for our new Café!

- Define various segments with segmentation “nicknames” (i.e., creating personas) e.g., Young & broke Suzie

- At least 3 more segments from you! (not necessary to use each segmentation variable. For example, you may skip geography, etc. if you don’t find it essential)



Segments

Segment Name	Primary Need	Geography	Demographics	Psychographics	Behavioural
Young & Broke Suzie	Meet friends, but within budget constraints	Which area do students live in?	17 – 25 years Student Low income Lots of friends	- likes spending time with friends and going out in groups	Eats out 3-5 times a week Easily swayed by discounts



Targeting

- Targeting a market segment means selecting exactly where the business wants to compete. It normally selects an area in which a firm has the best chance of succeeding.

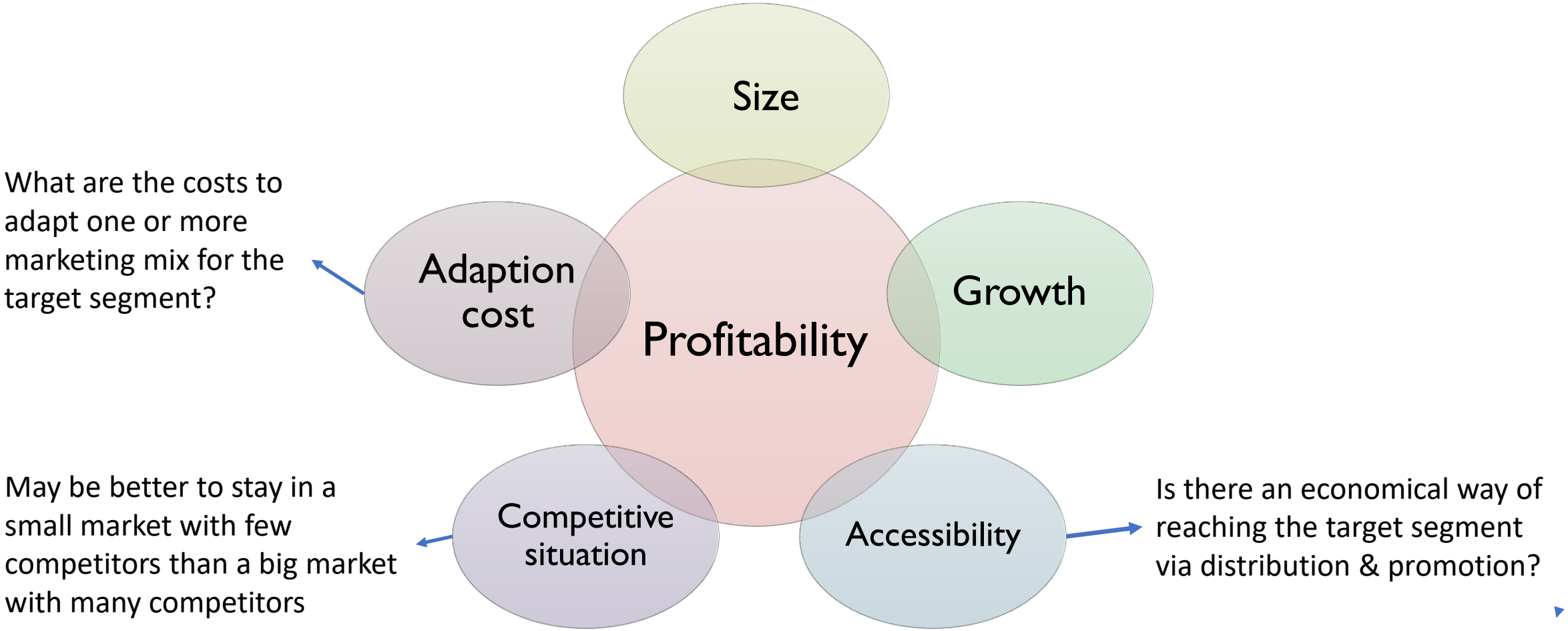
- Why target?

  - Targeting is about a decision: concerning which segments to choose and how much to adapt marketing mix components to these segments

  - Marketing Mix: Products, Price, Distribution and Marketing Communication

TARGETING

Factors to consider when selecting segments for targeting



Mass Marketing

- Targeting the entire market and using the same marketing mix for the market as a whole.

- Mass Marketing: targeting the entire market by using the one- size-fits-all marketing mix when:
  - Products concern basic/average needs
  - Average-low prices
  - Average customer service
  - Distributing and promoting in massive scales
  - All in all: Massive scales!!



Differentiated Marketing

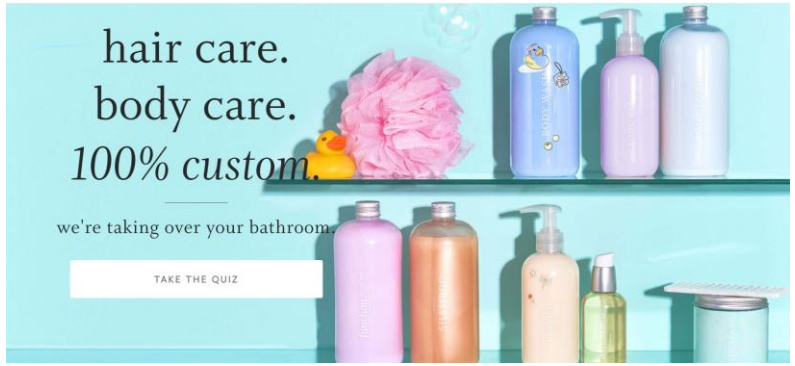
- **Concentrated segmentation**: target one segment (or sometimes two) with very specific marketing mix components
- **Comprehensive segmentation:** all market segments, but with individually-tailored marketing mix components
- **Broad segmentation:** target three or more segments, with different marketing mix components

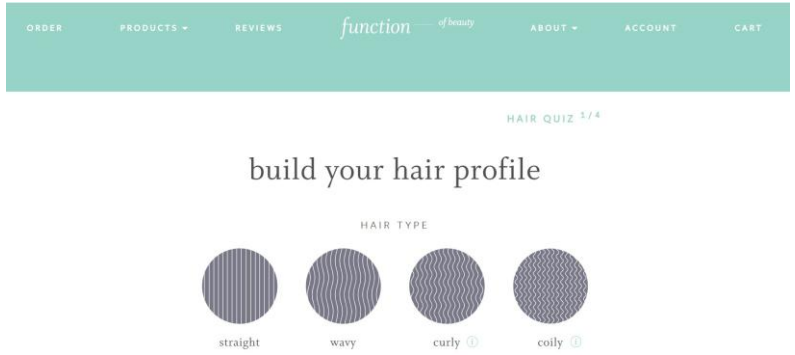


Niche Marketing

- A variant of concentrated market segmentation
- Reflects a firm's specialisation
- A single marketing mix thoroughly adapted to a single small segment



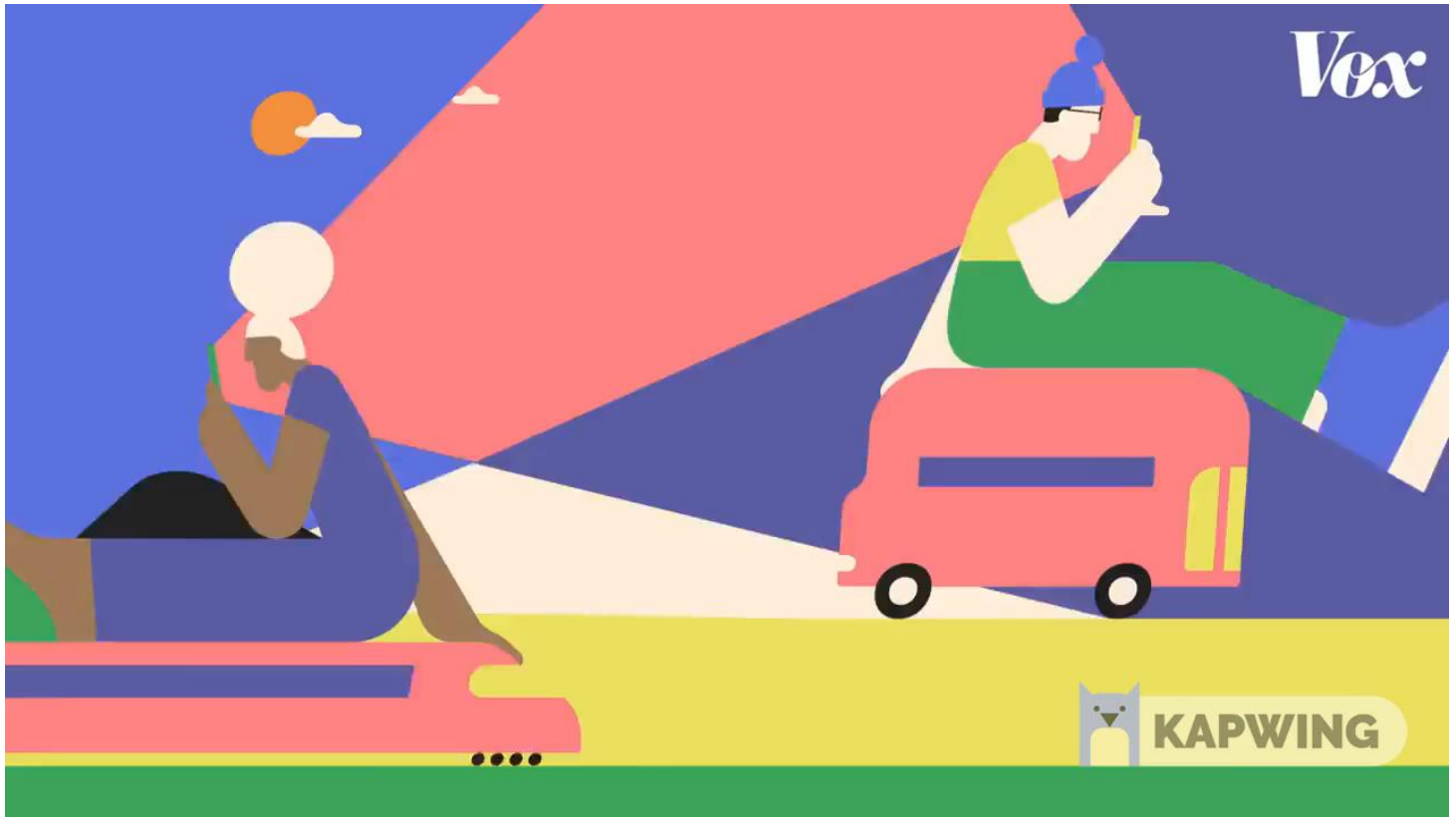




Micro-marketing

- Tailoring products and marketing for specific individuals and locations

- Types
  - Local marketing
  - Individual marketing



WHY DOES YOUR NETFLIX LOOK DIFFERENT THAN MINE?!

Positioning

- The place that the brand or business occupies, or wishes to occupy emotionally and cognitively, namely, ***in the hearts and minds of customers*** in relation to competing brands or businesses
  - Concerns identity, image & personality of a brand/business



Positioning : Guess the brand!

- ***“A magical world where dreams come true.”***

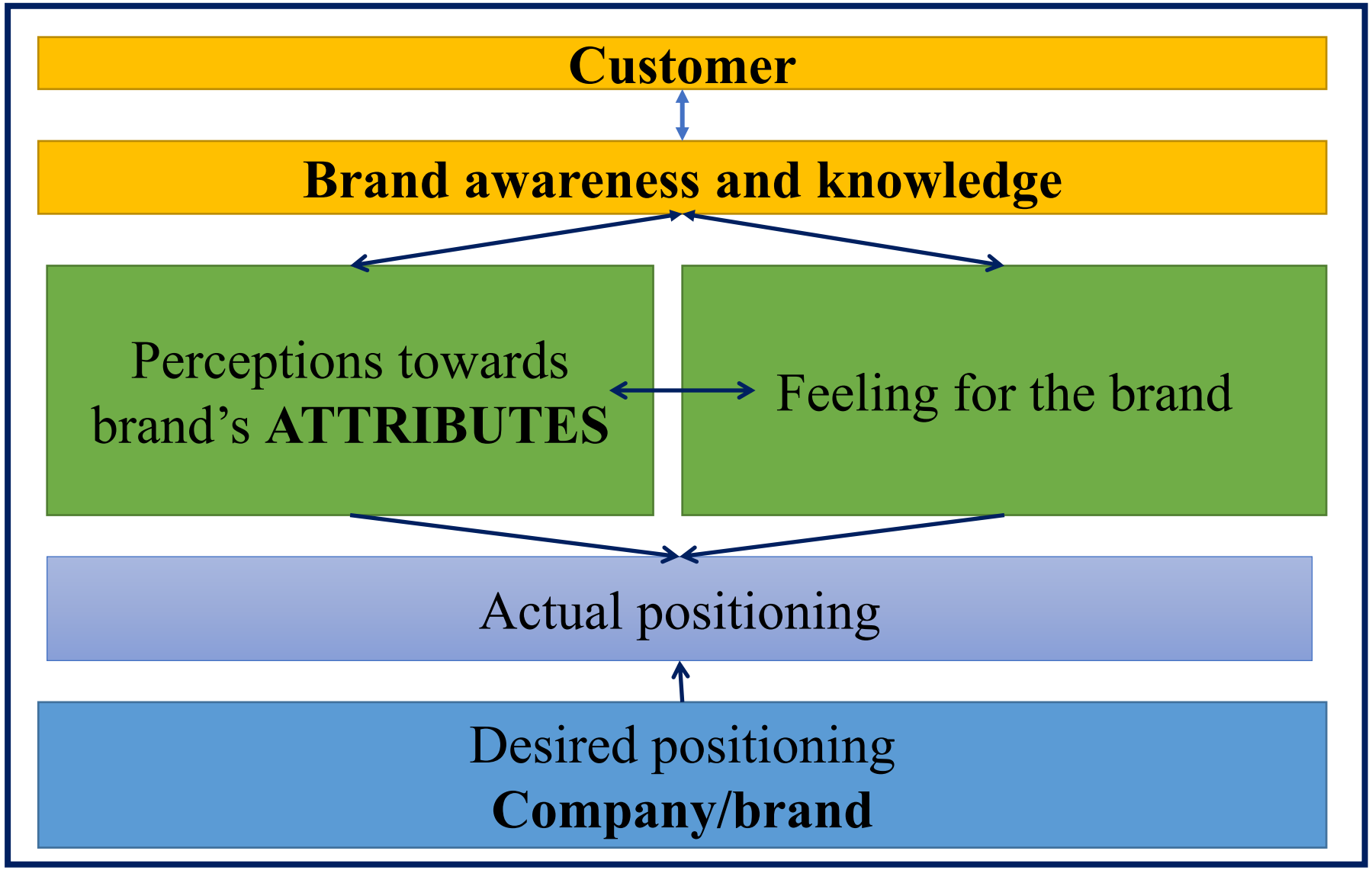
- ***“Bring inspiration and innovation to every athlete* in the world.”***

If you have a body, you are an athlete.

- **Gives you wings**

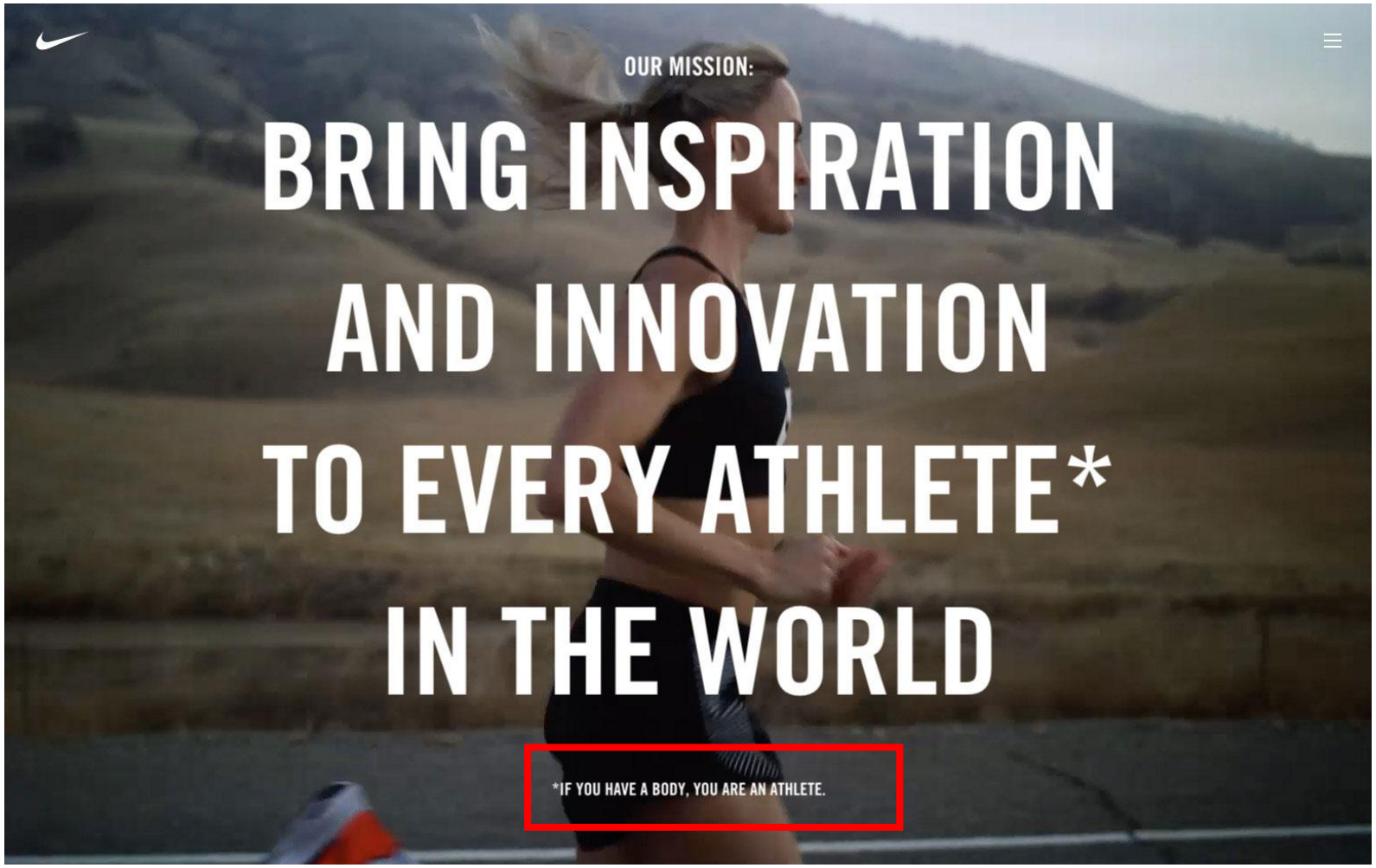


The ‘Process’ of Positioning



Positioning

- Actual positioning
  - Nike inspires performance; Walmart = value
- Desired positioning
  - How want to position your brand
- New brand vs. existing brand
  - Both will require market research
  - Existing brand can be repositioned (cost & time consideration):
    - When actual vs. desired positioning are not the same
    - Difficult to reposition sometimes



Nike Positioning over the years

- 1950's – 60's: Nike's initial target segment was 'The Runners'. The positioning strategy was 'The **lightest shoe** in the market that would **last in longer-distance** running at a price lower than the German brands in the market'

How to ensure successful positioning?

- Clear and unambiguous
- Brand must represent something specific, don’t confuse your audience!
- Be consistent with targeting
- Represent value for the customer





Differentiation : To stand out!

- Consists of a brand or company **standing out from the others** by getting the target customers to perceive it as different from the competition, in a positive sense, based on one or more significant attributes

- Closely tied to positioning

- Why differentiate?
  - Without differentiation, a brand can compete with others solely based on price, which isn’t ideal!

How to differentiate?

- Based on attributes that are important to the consumers

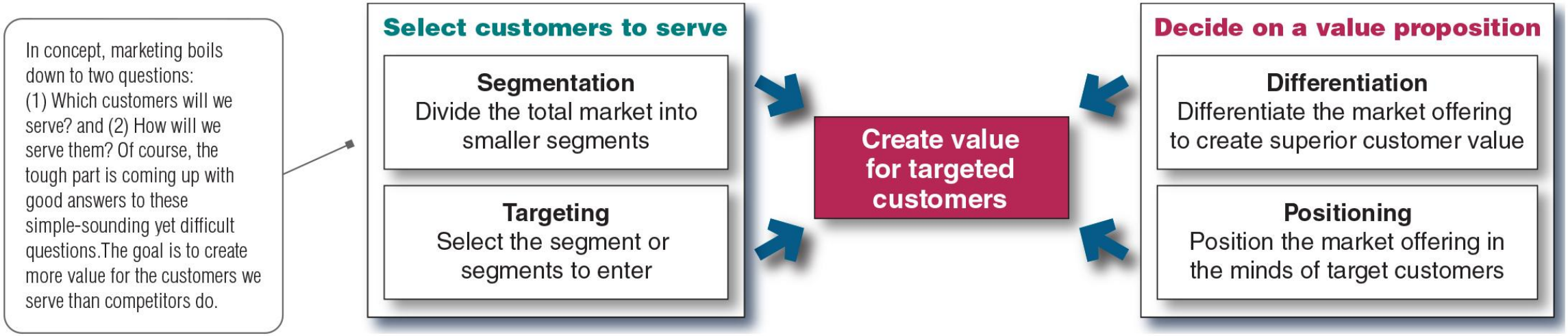
- Differentiation must:
  - Capture a competitive advantage that competitors don’t offer and cannot imitate
  - Be visible
  - Significant
  - Authentic

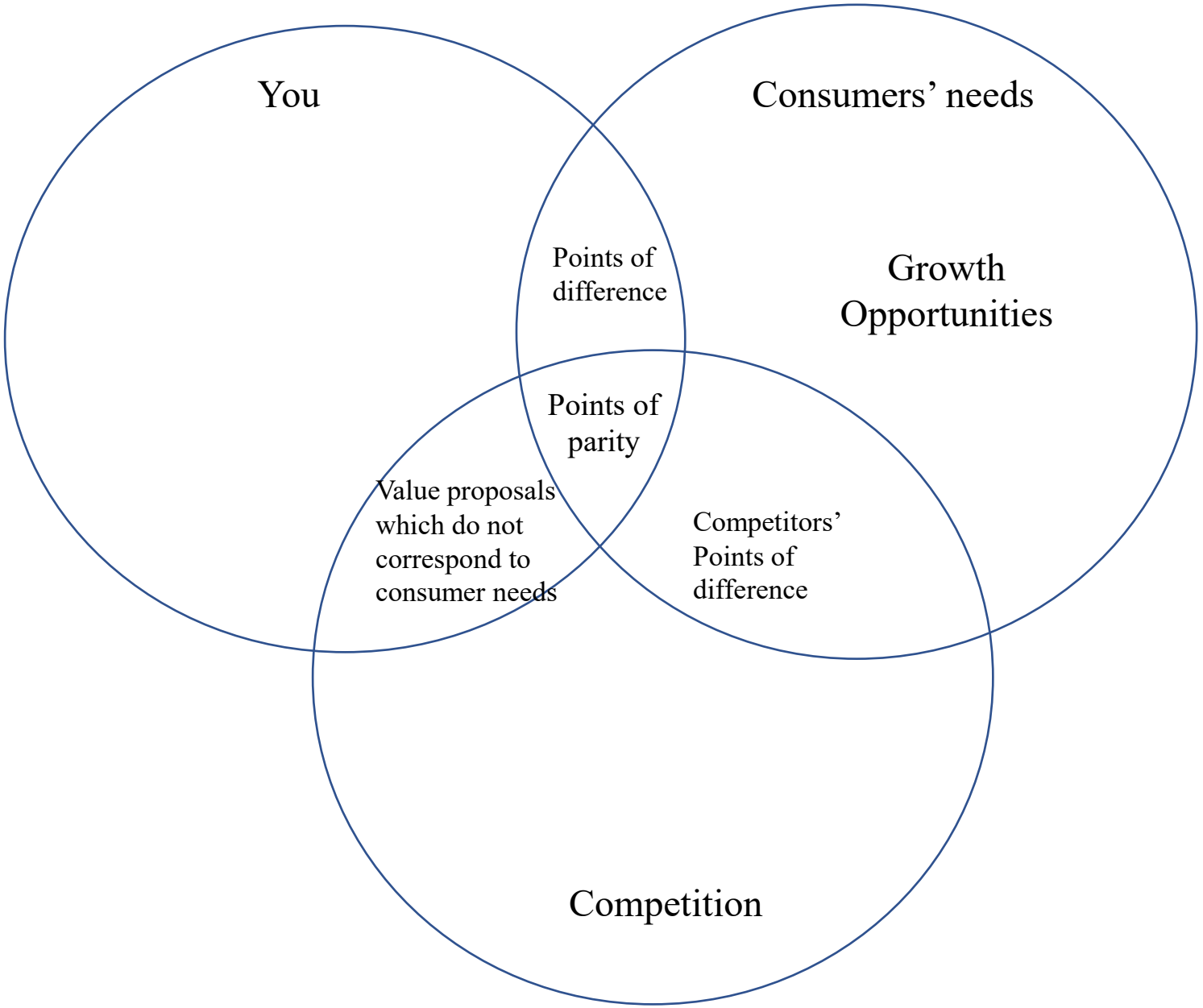
- Communicating a large number of differentiating points can be confusing
  - Promotions with a single point of difference, or maximum two or three

Differentiation through Marketing Mix

- Price : Walmart, Super C
- Product: Apple, Costco (Customer Service)
- Place: Amazon
- Promotion: Advertising, loyalty programs, etc.
  - E.g. Coca-Cola logo is claimed to be recognized by 94% of the world's population (Business Insider)

MARKETING STRATEGY: THE "STP"



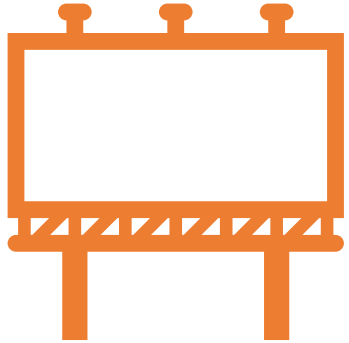


Differentiation

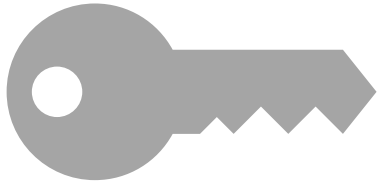
- Points of parity: The attributes that approximately match those being offered by the competition

- Points of difference (POD): The key attributes that give your brand/ product a competitive advantage over the competition

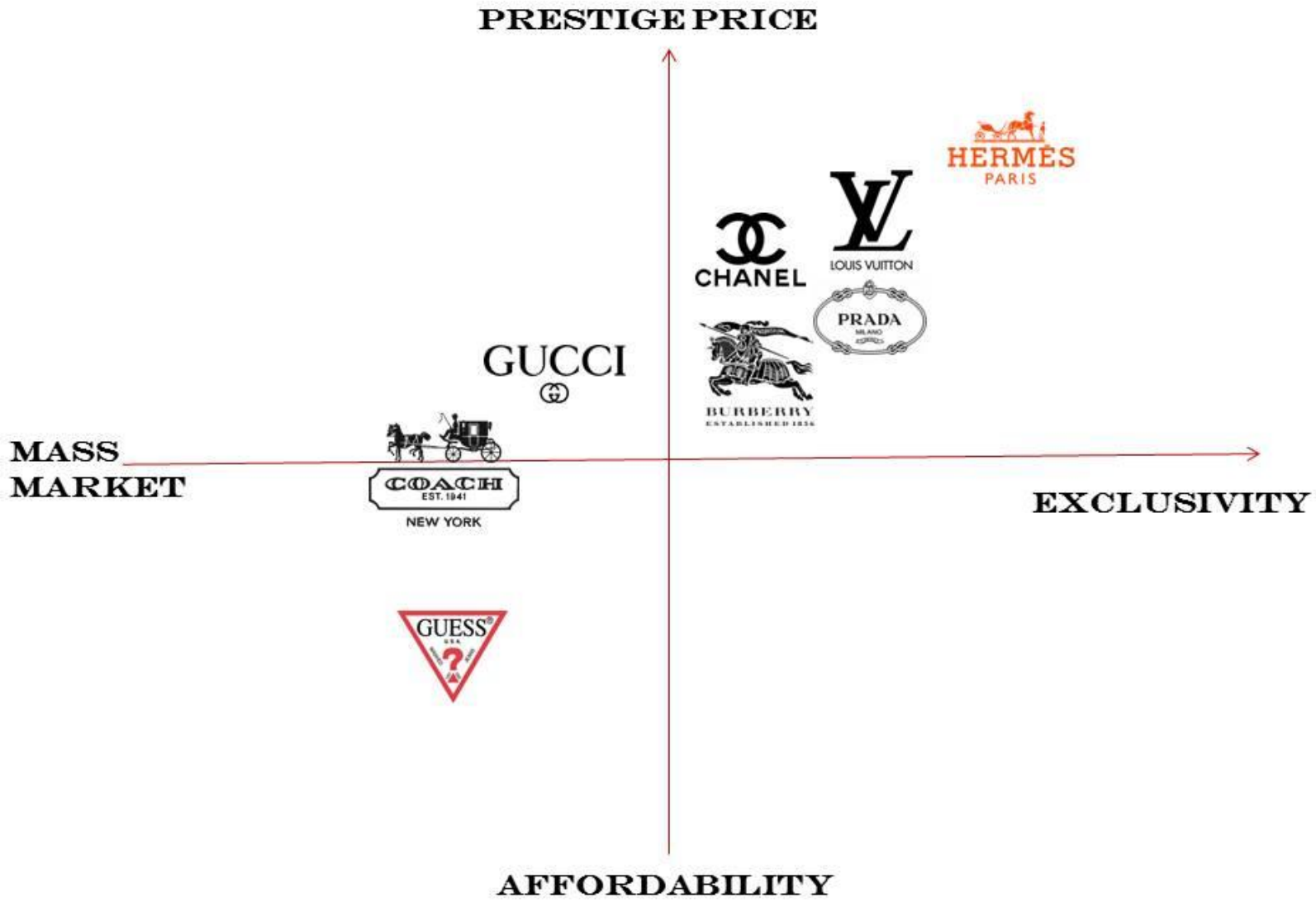
Perceptual Map : Tool to optimize Differentiation



Plot different brands or products **based on consumers' perception**



Select two dimensions that represent two key attributes of the product or service


PRESTIGE PRICE
HERMÈS
PARIS
CHANEL
LOUIS VUITTON
PRADA
MILANO
GUCCI
BURBERRY
ESTABLISHED 1856
MASS
MARKET
COACH
EST. 1941
NEW YORK
EXCLUSIVITY
GUESS
USA
AFFORDABILITY

To Write a Positioning Statement



What should be considered:

The target segmentation(s)

The targeting activities



What are the goals:

Defining and articulating the brand identity and personality



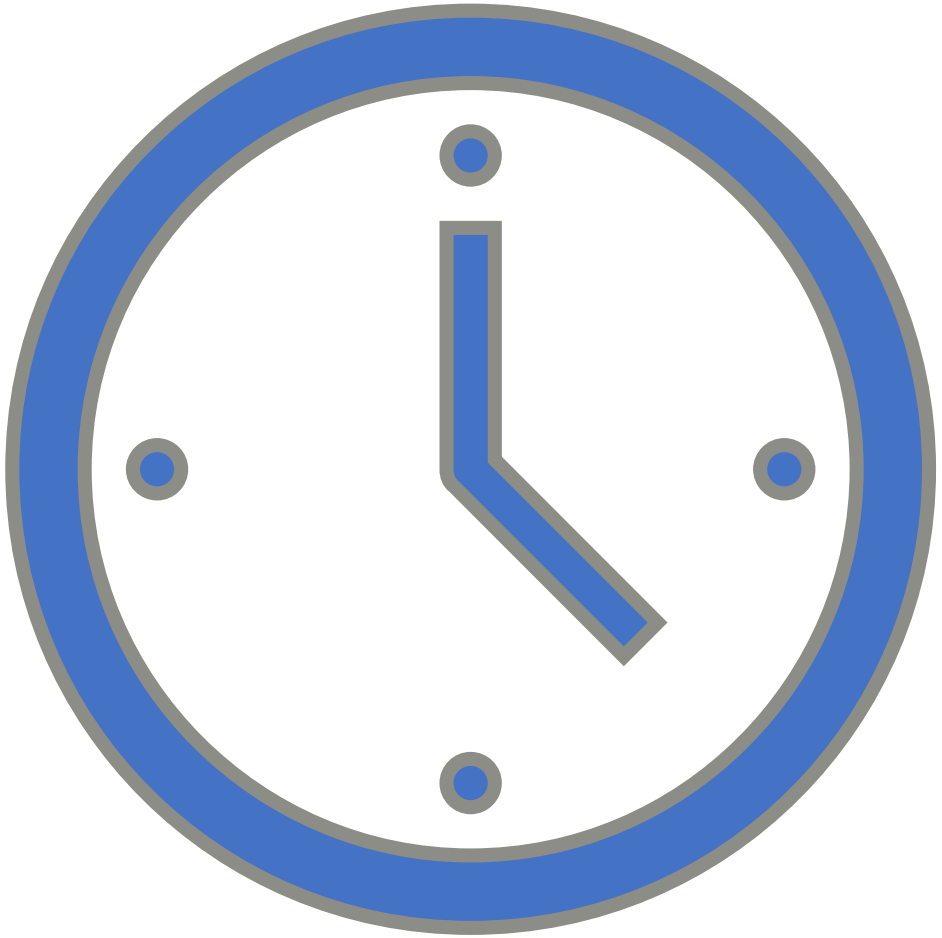
What should be included:

1. Brand
2. Concept
3. Target segment
4. Distinguishing characteristic and relevant justifications



Positioning Statement

- Lululemon: lululemon is a leading brand for people around the world who want to live a healthy and active lifestyle.



ACTIVITY TIME!

Perceptual Map & Positioning Statement

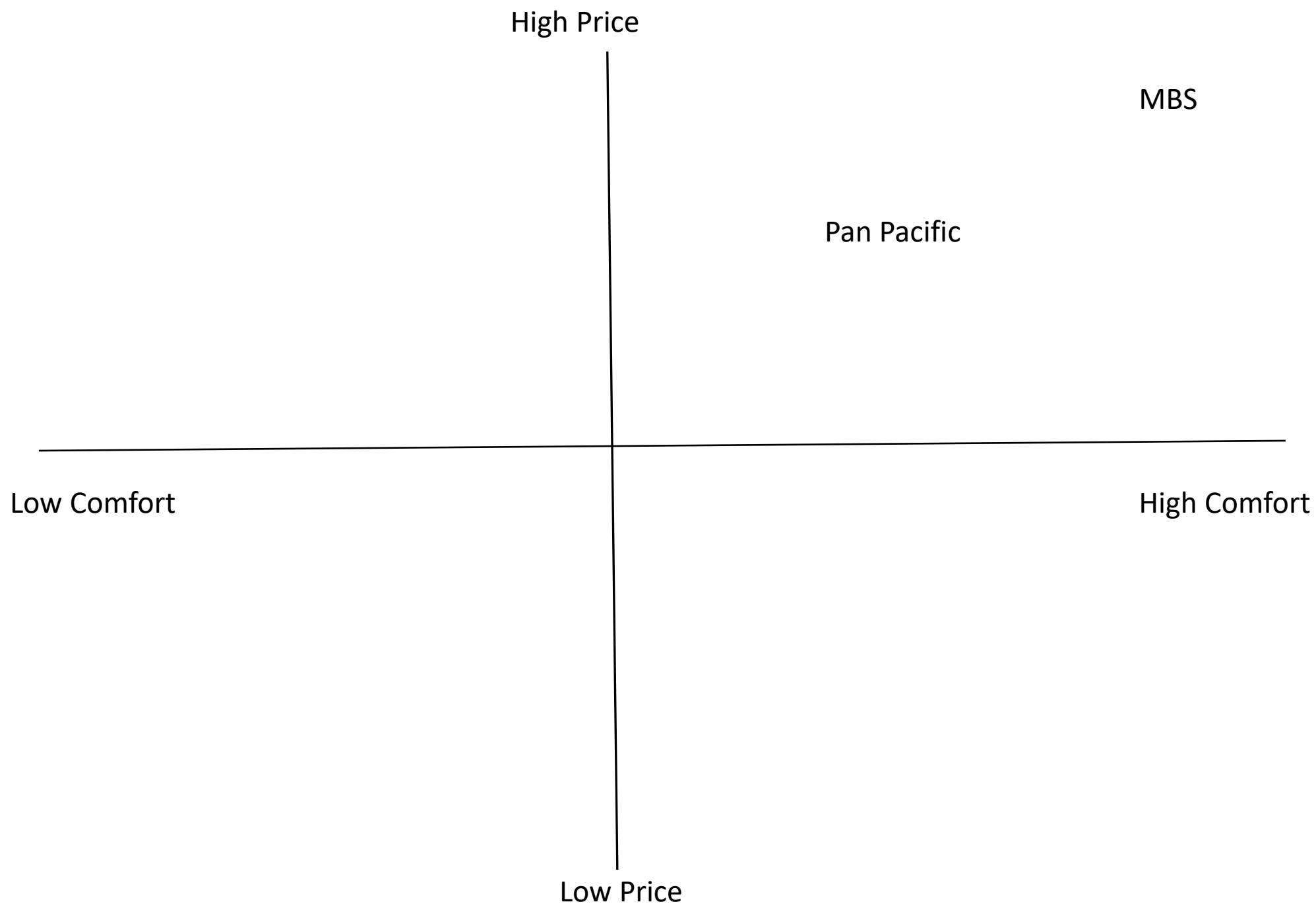
- Your product/brand
    - **Oasia Hotel Downtown Singapore**

- Go to their website (brand history, taglines, descriptions, etc.), social media, and other sources

Perceptual Map & Positioning Statement

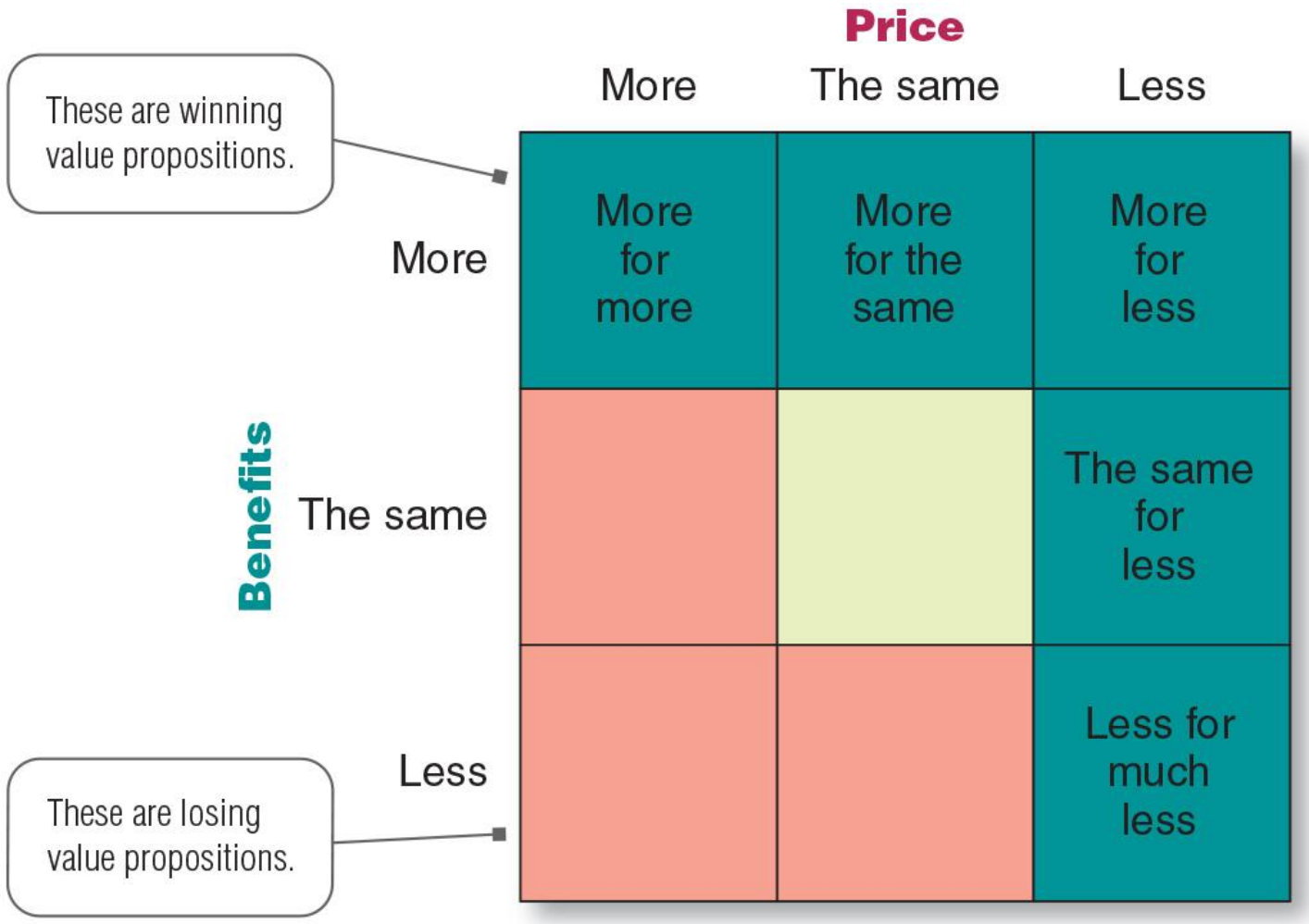
- Attributes to consider
  - Luxury
  - Comfort
  - Price
  - Location
  - Perceived Quality
  - Etc.

- Competition: Marina Bay Sands, Raffles Singapore, Pan Pacific Sinagpore, Shangri-la, The Fullterton, Holiday Inn, any other you want to consider


High Price
MBS
Pan Pacific
Low Comfort
High Comfort
Low Price

Differentiation and Positioning

- **Choosing a Differentiation and Positioning Strategy**
- **Value proposition** is the full mix of benefits upon which a brand is positioned.

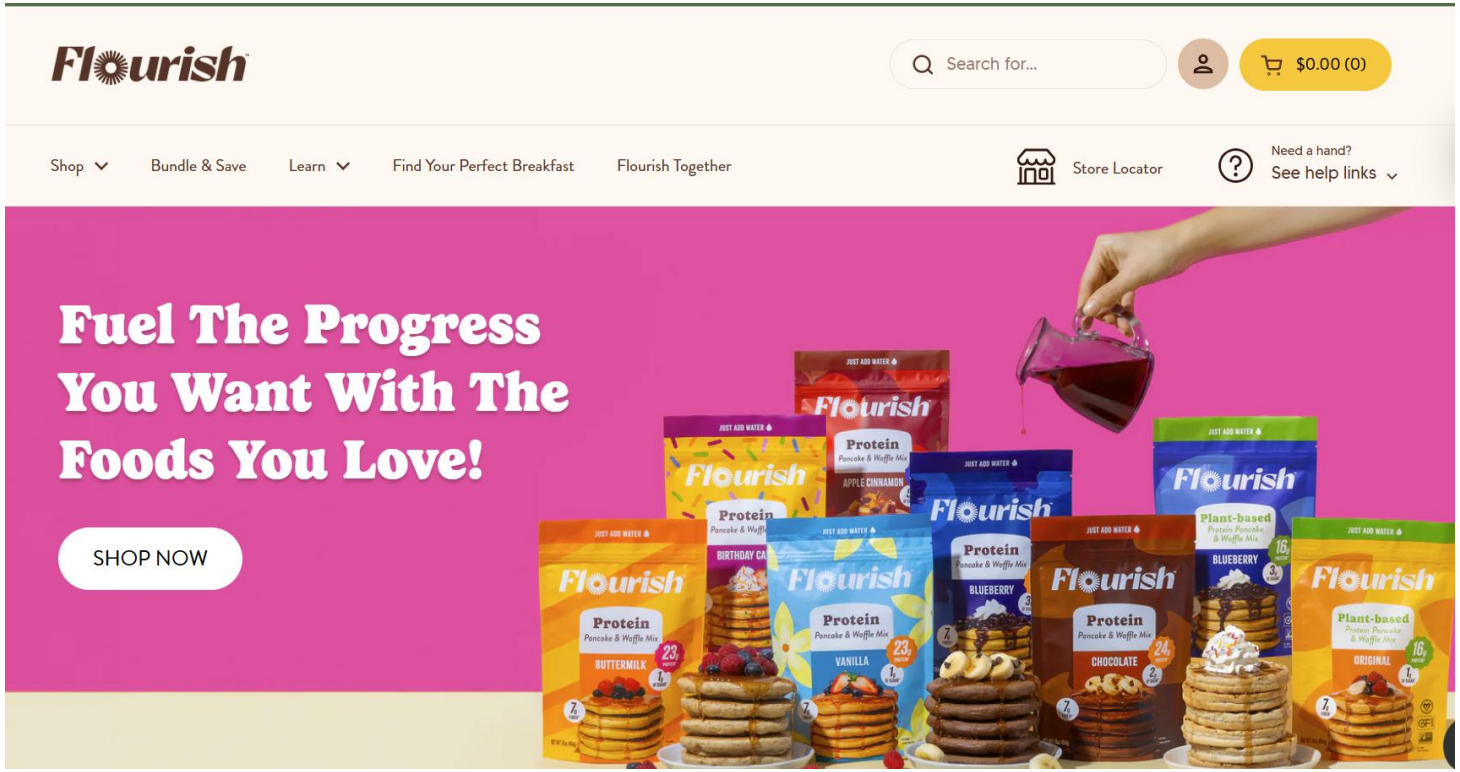


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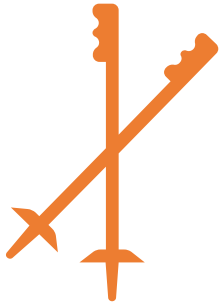
Activity

Go to the Website for Flourish Pancakes

Design a Marketing Strategy (STPD) for it



Class Recap



Market Segmentation

Types of segmentation variables: Sociodemographic, geographic, psychographic, lifestyle, behavioral, Volume and Profitability Variables, market specific



Targeting

Mass Marketing

Segment Marketing

Niche Marketing

Micro Marketing



Thank You!